Overview

The AAJ Global Future and Emerging Tech is designed to measure the Total Return Performance of a selection of companies from the 20 roic universe, that are weighted according to their Equally Weighted. The Index measures the total return performance of an equally-weighted selection of companies from the AAJ Global Future and Emerging Tech universe. The index serves as an alternative to the iShares Edge MSCI USA Quality Factor ETF, which is used as the benchmark.

Index Benchmark

Index: iShares Edge MSCI USA Quality Factor ETF.

Currency: The index is denominated in USD (United States Dollar).

Return Calculation: The return calculation is based on the total return, which includes both the capital appreciation/depreciation and any distributions such as dividends.

Number of Constituents: The index consists of 62 constituents. These are the individual stocks or securities that make up the index.

Rebalancing Frequency: Rebalancing involves adjusting the weights of the constituents to maintain the desired characteristics of the index, such as equal weighting in this case.

Weighting Mechanism: This means that each constituent holds the same weight within the index, regardless of its market capitalization or other factors.

By equally weighting its constituents and rebalancing quarterly, the index seeks to provide investors with a diversified and balanced exposure to the quality factor

Index Characteristics

Category	Constituents Weighting Profile (%)
Median	1.61%
Max	2.08%
Min	1.32%

Constituents As of April 18, 2024, the index had 62 constituents with a combined market capitalization of over $20 trillion. The largest holding was Glencore plc at 2.08% weight, followed by the Class A and Class C shares of Alphabet Inc. at 1.94% and 1.93% respectively. Other top holdings included Taiwan Semiconductor (1.93%), Banco Bilbao Vizcaya Argentaria (1.86%), Lockheed Martin (1.82%), ABB Ltd (1.80% and 1.78%), Rio Tinto (1.76%) and NVIDIA (1.75%).

The median weight of constituents was 1.61%, with the maximum at 2.08% (Glencore) and minimum at 1.32%.

Category	Market Capitalization (USD M)

Total	20,097,658.8M
Mean	324,155.76M
Largest	3,003,902.45M
Smallest	28,891.79M

Index Characteristics The index had an overall ESG score of 60.24, higher than the benchmark's 57.34, driven by better environmental (66.83 vs 60.31) and social scores (60.97 vs 57.26). However, its governance score of 56.23 lagged the benchmark's 56.02 slightly.

ESG SCORE-

	Index	Benchmark
Environmental	66.83	60.31
Social	60.97	57.26
Governance	56.23	56.02
ESG Total	60.24	57.34

Sustainalytics ESG Risk Scores

	Index	Benchmark
Environmental	66.83	60.31
Social	60.97	57.26
Governance	56.23	56.02
ESG Total	60.24	57.34

From a risk perspective, the index's Sustainalytics ESG Risk Score of 79.35 was marginally higher than the benchmark's 79.02, indicating slightly elevated ESG risk exposure. The overall exposure score was 57.22 versus 60.49 for the benchmark, while the management score of 44.56 trailed the benchmark's 49.14.

Time Period	Index Return	Benchmark Return	Index Annualized Return	Benchmark Annualized Return	Index Sharpe Ratio	Benchmark Sharpe Ratio
YTD	3.32%	6.61%	10.83%	22.35%	0.84	1.18
1Y	20.48%	25.46%	20.48%	25.46%	1.64	1.64
3Y	29.27%	28.24%	8.94%	8.46%	0.55	0.55
5Y	109.48%	85.51%	15.94%	13.15%	2.84	2.84
Max	125.67%	106.30%	13.68%	12.08%	2.00	2.00

Performance Over the past 1-year period through April 18, 2024, the index returned 20.48%, underperforming the benchmark's 26.45% return. However, the index outperformed over the 3-year (29.27% vs 28.24%) and 5-year periods (109.46% vs 85.51%).

The annualized returns displayed a similar trend - 20.48% vs 26.45% over 1-year, but higher returns of 8.94% vs 8.64% over 3-years and 15.94% vs 13.15% over 5-years for the index compared to the benchmark.

Overall time periods (YTD, 1Y, 3Y, 5Y, Max.), the benchmark consistently had higher Sharpe ratios compared to the index. This suggests that the benchmark provided better risk-adjusted returns across these time frames. While the index outperformed the benchmark over longer time periods (3 years, 5 years, and since inception), the benchmark showed superior performance in the year-to-date and oe-year periods.

Index Volatility

Daily Volatility	YTD	1Y	3Y	5Y	Max.
Index	0.82%	0.78%	1.02%	1.24%	1.19%
Benchmark	0.78%	0.78%	1.14%	1.34%	1.28%
Annualized Volatility	**YTD**	**1Y**	**3Y**	**5Y**	**Max.**
Index	12.96%	12.46%	16.21%	19.71%	18.95%
Benchmark	12.37%	12.34%	18.10%	21.24%	20.27%
Max. Drawdown	**YTD**	**1Y**	**3Y**	**5Y**	**Max.**
Index	-6.88%	-8.28%	-24.12%	-28.89%	-28.89%
Benchmark	-5.18%	-8.44%	-28.23%	-34.06%	-34.06%

Risk metrics were mixed. The index exhibited lower volatility than the benchmark across daily, 1-year and maximum drawdown figures. However, 3-year and 5-year volatilities were slightly higher for the index. The index's Sharpe ratios were superior to 1-year, 3-year and 5-year periods, indicating better risk-adjusted returns.

Daily Volatility:

Over YTD and 1-year periods, the index had slightly higher daily volatility of 0.82% and 0.78% respectively, compared to 0.78% for the benchmark. However, the index had lower daily volatility than the benchmark over the 3-year (1.02% vs 1.14%), 5-year (1.24% vs 1.34%), and maximum (1.19% vs 1.28%) periods.

Annualized Volatility:

The annualized volatility followed a similar pattern, with the index being marginally higher at 12.96% vs 12.37% for YTD, and 12.46% vs 12.34% for 1-year periods. Over longer 3-year and 5-year periods, the index exhibited lower annualized volatility of 16.21% and 19.71% respectively, compared to 18.10% and 21.24% for the benchmark. The maximum annualized volatility was also lower for the index at 18.95% versus 20.27% for the benchmark.

Maximum Drawdown:

The index experienced lower maximum drawdowns than the benchmark across all periods. YTD max drawdown was -6.88% for the index versus -5.18% for the benchmark. Over 1-year, 3-year and 5-year periods, the maximum drawdowns were -8.28%, -24.12% and -28.89% respectively for the index, compared to -8.44%, -28.23% and -34.06% for the benchmark.

In summary, while the index displayed marginally higher volatility over shorter YTD and 1-year periods, it exhibited lower volatility than its benchmark over longer 3-year, 5-year and maximum periods. The index also demonstrated lower maximum drawdowns across all periods, indicating better downside risk control relative to the benchmark.

Relative Stats

Tracking Error	YTD	1Y	3Y	5Y	Max.
Index	5.31%	5.27%	6.89%	7.62%	7.36%
Beta	YTD	1Y	3Y	5Y	Max.
Index	0.96	0.92	0.83	0.87	0.87
Annualized Information Ratio	YTD	1Y	3Y	5Y	Max.
Index	-2.17	-1.13	0.04	0.37	0.22

Tracking Error:

The tracking error of the index relative to the benchmark ranged from 5.27% over the 1-year period to 7.62% over the 5-year period. This indicates a moderate level of active risk taken by the index versus its benchmark. The maximum tracking error was 7.36%, suggesting the index can deviate meaningfully from benchmark performance at times.

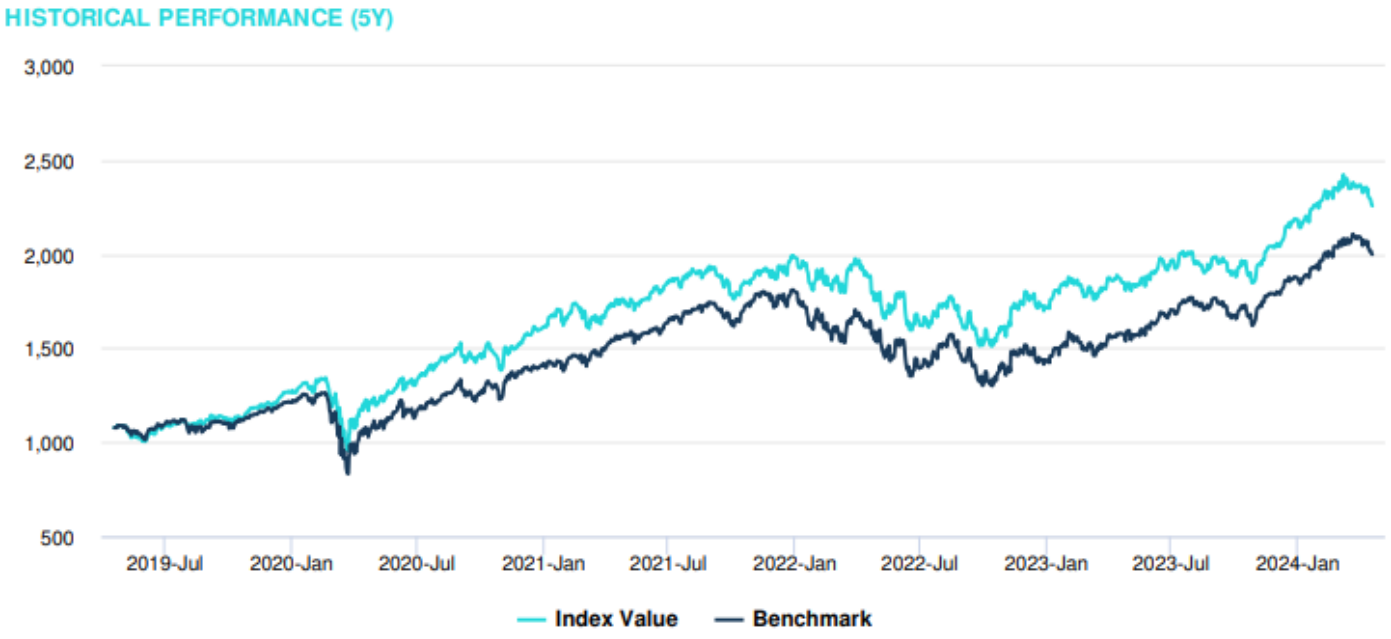
Beta:

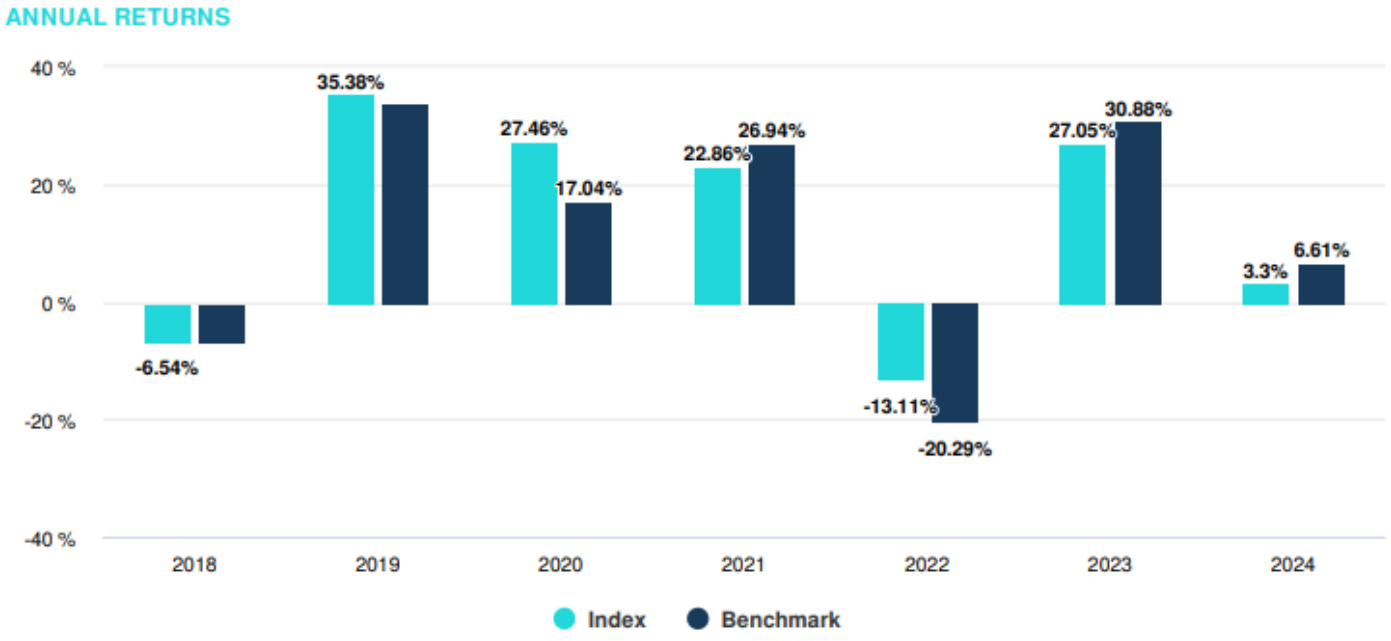
The index exhibited betas below 1 across all periods, indicating lower overall market sensitivity compared to the benchmark. The 1-year beta was 0.92, while the 3-year and 5-year betas were 0.83 and 0.87 respectively. The maximum beta of 0.87 highlights the index's defensive positioning relative to the benchmark.

Annualized Information Ratio:

The information ratio measures the risk-adjusted active return of the index over the benchmark. Over YTD and 1-year periods, the negative information ratios of -2.17 and -1.13 indicate underperformance versus the benchmark on a risk-adjusted basis. However, over the longer 3-year and 5-year horizons, the index generated slightly positive risk-adjusted returns with information ratios of 0.04 and 0.37 respectively. The maximum information ratio was 0.22, suggesting modest outperformance over the benchmark when measured over the longest period.

In essence, the tracking error statistics reveal the index can deviate from its benchmark at times due to its unique composition, while the betas signal a structurally defensive positioning. The information ratios indicate short-term underperformance, but some ability to generate risk-adjusted outperformance over longer holding periods versus the benchmark.





The annualized return of the index (13.68%) is slightly higher than that of the benchmark (12.08%), suggesting that the index has delivered slightly better annual returns on average. Similarly, the index has lower annualized volatility (18.95%) compared to the benchmark (20.27%), indicating that the index has been less volatile on an annualized basis.

Top Constituents

Name	FIGI	Weight
Glencore plc	BBG001SDK0P8	2.08 %
Alphabet Inc.	BBG009S3NB21	1.94 %
Alphabet Inc.	BBG009S39JY5	1.93 %
Taiwan Semiconductor Manufacturing Company Limited	BBG001S6Q004	1.93 %
Banco Bilbao Vizcaya Argentaria, S.A.	BBG001S6P853	1.86 %
Lockheed Martin Corporation	BBG001S7PS57	1.82 %
ABB Ltd	BBG001SCX147	1.80 %
ABB Ltd	BBG001SDDMX9	1.78 %
Rio Tinto Group Plc	BBG001S6W9Q0	1.76 %
NVIDIA Corporation	BBG001S5TZJ6	1.75 %

Glencore plc (BBG001SDK0P8): Glencore plc, a global diversified natural resources company based in Switzerland. Its Bloomberg ticker symbol is BBG001SDK0P8.

Alphabet Inc. (BBG009S3NB21): Alphabet Inc., the parent company of Google. Alphabet Inc. has multiple share classes, and BBG009S3NB21 represents one of its share classes.

Alphabet Inc. (BBG009S39JY5): Alphabet Inc., likely representing a different share class with the Bloomberg ticker symbol BBG009S39JY5 which is a Google Owned Company.

Taiwan Semiconductor Manufacturing Company Limited (BBG001S6Q004): Taiwan Semiconductor Manufacturing Company Limited (TSMC), the world's largest dedicated independent semiconductor foundry.

Banco Bilbao Vizcaya Argentaria, S.A. (BBG001S6P853): Banco Bilbao Vizcaya Argentaria, S.A. (BBVA), a multinational Spanish banking group.

Lockheed Martin Corporation (BBG001S7PS57): Lockheed Martin Corporation, an American aerospace, defence, arms, security, and advanced technologies company.

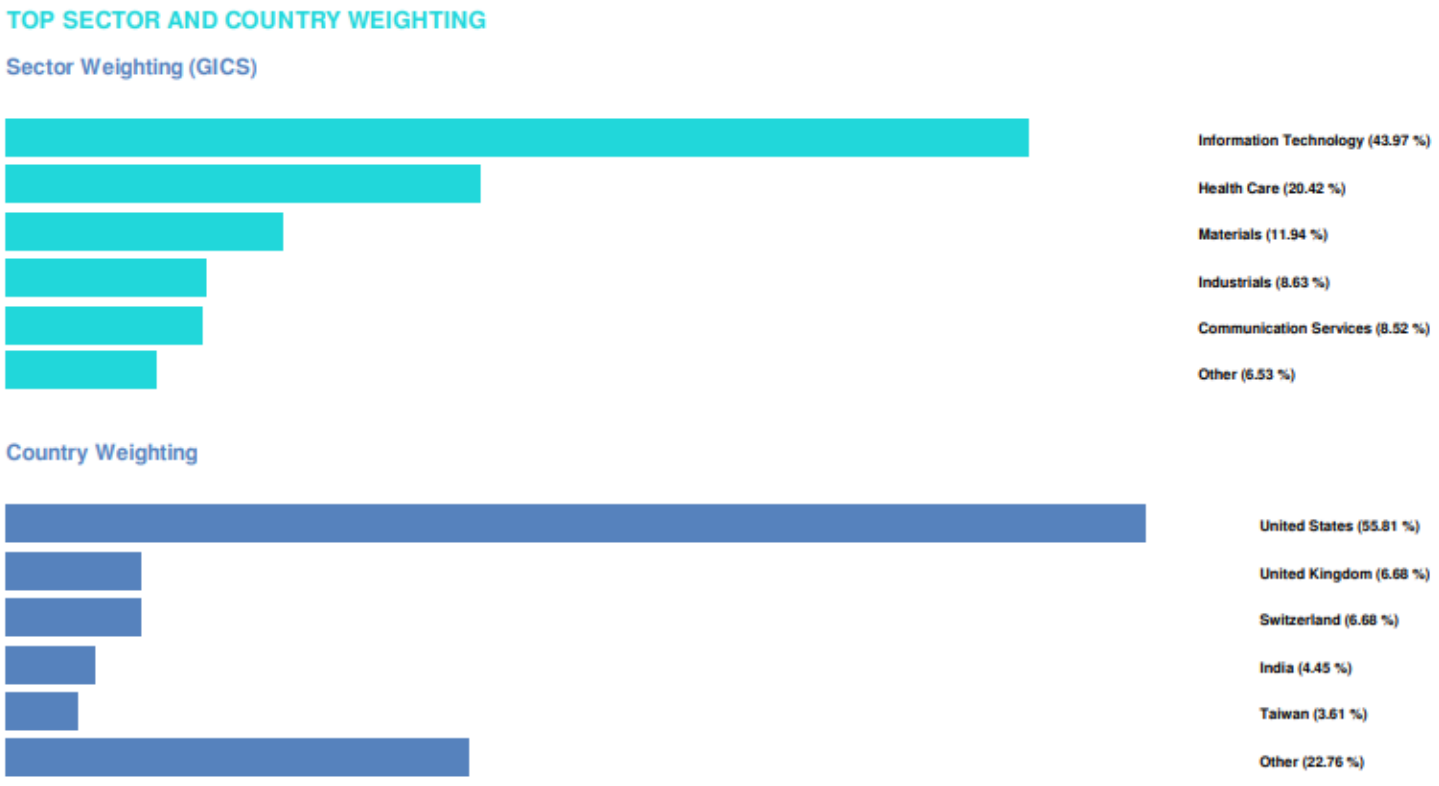
ABB Ltd (BBG001SCX147): ABB Ltd, a Swiss-Swedish multinational corporation operating mainly in robotics, power, heavy electrical equipment, and automation technology areas.

ABB Ltd (BBG001SDDMX9): ABB Ltd, likely representing a different share class or holding.

Rio Tinto Group Plc (BBG001S6W9Q0): Rio Tinto Group Plc, a British-Australian multinational metals and mining corporation.

NVIDIA Corporation (BBG001S5TZJ6): NVIDIA Corporation, an American multinational technology company known for its graphics processing units (GPUs) and artificial intelligence (AI) technologies.

Sector & Country Exposures



From a sector perspective, the index was overweight Information Technology at 43.97% weight compared to the benchmark. Other top sectors were Health Care (20.42%), Materials (11.94%), Industrials (8.63%) and Communication Services (8.52%).

The index had a significant overweight to the United States at 55.81%, compared to the benchmark. Other major country exposures included the United Kingdom (6.68%), Switzerland (6.68%), India (4.45%) and Taiwan (3.61%).

Conclusion

In summary, the 20 roic Index provided a risk-controlled way to capture the performance of an equally-weighted basket of companies selected from the 20 roic universe, with relatively stronger ESG characteristics and risk-adjusted returns over longer periods compared to its benchmark.